

China Daily Brief

Tuesday, September 15, 2026

2,789 words · 11 min read

RE: Aug data softens on demand · exit-entry law takes effect · MSS warns on AI · Iran FM to Beijing · Taiwan tests MQ-9B

USD/CNY
6.6995
▼ -0.16%

SSE COMPOSITE
3,864.28
▼ -2.21%

HANG SENG
24,667.24
▼ -2.57%

BRENT
\$102.29
▼ -4.96%

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• TODAY AT A GLANCE

- 1 China's August industrial output beat forecasts while retail sales growth slowed and fixed-asset investment deepened its slump, per NBS data cited by CNBC and Reuters.
- 2 Beijing's new exit-entry law took effect Tuesday, formally empowering authorities to block departures over national-security or tech-export concerns, per FT, WaPo and CNBC.
- 3 MSS Minister Chen Yixin privately framed AI as a threat to party rule even as MOFA publicly dismissed US warnings on China's AI progress as 'malicious competition.'

PRC-ECONOMY

China's August data: factories humming, consumers and investment stalling

China's industrial output growth quickened in August even as retail sales growth slowed and fixed-asset investment deepened its slump, NBS data released Tuesday showed, according to CNBC. Beijing's own statisticians flagged a widening 'supply-demand imbalance' between factory production and domestic consumption.

CNBC, REUTERS, BLOOMBERG, FT, WSJ

TECHNOLOGY

China's new exit-entry law takes effect, formalizing power to block departures over 'national security'

New PRC entry-exit regulations took effect Tuesday, explicitly allowing authorities to bar citizens from leaving the country over national-security concerns or technology-export violations, per the Washington Post. CNBC reports the rules target 'two of its most valuable assets: money and talent,' tightening scrutiny of wealthy individuals and tech workers seeking to leave.

WASHINGTON POST, CNBC, FT, REUTERS, NIKKEI ASIA

TECHNOLOGY

Beijing's spy chief privately warns AI threatens party rule as MOFA publicly slams US 'fearmongering'

MSS Minister **Chen Yixin** called for the Communist Party to tighten control over AI and impose stricter government regulation, framing it as necessary to preserve domestic political stability and compete militarily with the US, per Chinese-language NYT reporting. Beijing simultaneously rejected US tech leaders' calls to slow AI development as 'malicious competition,' with AP and the Washington Post reporting similar pushback.

NEW YORK TIMES, AP, WASHINGTON POST, BLOOMBERG

US-CHINA

China, US discuss cutting tariffs on agriculture and energy ahead of Xi's Washington visit

Chinese and American negotiators are discussing reductions to tariffs on agricultural and energy goods, Bloomberg reported Tuesday, as both sides prepare for **Xi Jinping's** Sept. 24 state visit to Washington. The talks follow the May 14-15 Beijing summit, where the two sides agreed to restore prior tariff levels rather than escalate further. FT cautions the summit's central achievement may simply be occurring at all, given the two sides remain 'in a stand-off rather than a state of agreement' on core issues.

BLOOMBERG, FINANCIAL TIMES

DIPLOMACY

Iran's foreign minister heads to Beijing for talks with Wang Yi, second visit since war began

Iranian Foreign Minister **Abbas Araghchi** will visit China on Wednesday for talks with **Wang Yi**, Beijing's foreign ministry announced Tuesday, CNBC reports. It is Araghchi's second China visit since the US-Iran war began, coming days before Xi's expected Washington visit.

CNBC, BLOOMBERG

CROSS-STRAIT

Taiwan flight-tests first MQ-9B SeaGuardian drones to track PLA grey-zone activity

Taiwan's military flew the first two of four MQ-9B SeaGuardian drones from Hualien Air Base on Monday, the first test flight since the aircraft arrived by sea in June, per SCMP. The long-range reconnaissance platform gives Taiwan a new tool to monitor PLA and grey-zone operations across surrounding waters.

SCMP

PRESS FREEDOM	RSF presses Beijing on SCMP reporter Minnie Chan, missing since 2023 · Hong Kong Free Press Reporters Without Borders says SCMP defense reporter Minnie Chan has been unaccounted for since October 2023, when she covered the Xiangshan Forum, and may be held on undisclosed national-security charges facing at least 10 years in prison. RSF says it cannot verify her detention and has asked SCMP for more information.
TECHNOLOGY/IP	WSJ: China replicated Driscoll's blueberry-growing secrets after tech transfer · WSJ China Driscoll's shared proprietary blueberry-growing technology with Chinese partners years ago, and Chinese growers subsequently replicated the techniques to build a domestic industry, WSJ reports. The case illustrates a recurring pattern in which technology transferred to Chinese partners is later copied and redeployed domestically.
FINANCE	Hong Kong-founded crypto exchange CoinEx to wind down · Nikkei Asia China Hong Kong-founded cryptocurrency exchange CoinEx said Tuesday it will begin winding down operations and services amid thinning trading volumes, Nikkei Asia reports. The closure marks the exit of one of Hong Kong's earliest homegrown crypto exchange ventures from the market.
PRC-ECONOMY	Hong Kong's first five-year plan won't alter economic system, says John Lee · SCMP Chief Executive John Lee said Hong Kong's first five-year plan, to be unveiled Wednesday alongside his policy address, will include binding and anticipatory targets but will not signal movement toward a planned economy. The plan's cover will be blue, symbolizing 'blue skies, openness, progress and steadiness,' Lee said.
FINANCE	Pictet's global multi-asset fund triples to \$5 billion on China inflows · Reuters China Pictet's flagship global multi-asset fund has tripled in size to <i>\$5 billion</i>, Reuters reports, driven substantially by inflows tied to Chinese assets. The growth underscores renewed international investor appetite for China exposure even as onshore benchmarks have underperformed this year.
ENERGY	China's benchmark crude oil futures hit a record high · Bloomberg China Shanghai-traded INE crude futures reached their most expensive level on record Tuesday, Bloomberg reports, even as global benchmark Brent traded near \$102.29 a barrel, down 4.96% on the day. The divergence highlights tightening domestic refinery demand alongside broader volatility in global oil markets.
MANUFACTURING	China steel body urges mills to curb output, inventories · Bloomberg China China's steel industry association called on mills to rein in production and inventories, Bloomberg reports, amid concerns over oversupply weighing on prices. The appeal adds to a broader pattern of supply-side discipline across Chinese heavy industry this year.
ENERGY	LNG demand in China, India, Pakistan expected to rebound once Mideast war ends · Reuters China LNG demand across China, India and Pakistan is expected to recover once the US-Iran war concludes, Reuters reports, as buyers resume purchases paused during the conflict. Analysts cited by Reuters expect the rebound to tighten global LNG markets heading into winter.

DIPLOMACY · SINOCISM

Sinocism: Trump pushback on AI-slowdown calls lowers odds of a US-China AI dialogue

Bill Bishop's Sinocism reports the Trump administration's rejection of Anthropic's 'pace the frontier' warning signals Washington has no interest in slowing AI development. That, the newsletter argues, further dims already-low expectations for the mooted US-China AI safety dialogue.

SANCTIONS · CNBC CHINA

US prosecutors seek to seize \$61 million in crypto tied to Iran-China oil sanctions evasion

US authorities are moving to seize *\$61 million* in cryptocurrency they allege are proceeds from Iranian petroleum sales to Chinese buyers. Two Chinese companies allegedly used Binance trading accounts to launder the funds and route them to Tehran or its proxies, per CNBC.

INVESTMENT · BLOOMBERG CHINA

US government takes \$450 million stake in tungsten producer to counter China

The US took a *\$450 million* equity stake in a tungsten firm, Bloomberg reports, part of Washington's push to reduce dependence on Chinese-controlled critical-mineral supply chains. A same-day Reuters report found the broader US critical-minerals investment push still leaves China with dominant market share.

EXPORT CONTROLS · 香港01 (HK01 ZH)

Reuters: China's grip on yttrium seen as key rare-earth flashpoint for Xi-Trump summit

HK01, citing Reuters, reports that China's control over yttrium, critical to US manufacturing, is expected to be a significant agenda item when Xi visits Washington on Sept. 24. The report frames rare-earth supply as central leverage in the pre-summit trade talks.

DIPLOMACY · SCMP CHINA

Cui Tiankai: US-China ties 'haunted' by lack of mutual trust, Xiangshan Forum told

Former Chinese ambassador to Washington **Cui Tiankai** told the Beijing Xiangshan Forum, a week before Xi's US visit, that mutual trust remains absent even after the two sides reached 'constructive strategic stability.' The forum also hosted Defense Minister **Dong Jun**'s meetings with foreign guests, per the Ministry of National Defense.

INVESTMENT · BLOOMBERG CHINA

US backs new Pacific undersea cable as China rivalry reshapes networks

The US is backing a new trans-Pacific undersea cable project, Bloomberg reports, as Washington and Beijing compete for control of regional telecommunications infrastructure. The move follows a broader pattern of US-backed alternatives to Chinese-linked network build-outs across the Pacific.

CROSS-STRAIT · TAIPEI TIMES (DIRECT)

Taiwan bars its athletes from competing on China's national teams

Taiwan's Ministry of Sports amended cross-strait sports exchange regulations to explicitly bar Taiwanese from competing internationally as members of China's national teams, citing national-identity concerns under the cross-strait relations act. The ministry called the move a 'policy red line' for cross-strait sports exchanges.

JAPAN · SCMP CHINA

Okinawa's new conservative governor seen easing Japan's defense buildup near Taiwan

Okinawa voters elected Genta Koja, a governor backed by Japan's ruling party, ending 12 years of local opposition to US base relocation and Tokyo's defense build-up plans. Analysts told SCMP the shift could bring closer integration of civilian infrastructure into Japan's defense network in a Taiwan contingency.

JAPAN · MAINICHI CHINA

Japan, Taiwan ruling-party lawmakers hold economic security talks

Members of Japan's and Taiwan's ruling parties met to discuss economic security amid China's regional economic influence, Mainichi reported Tuesday. The report did not detail specific agenda items or outcomes from the meeting.

MULTILATERAL · SCMP CHINA

BRICS leaders hedge against, not revolt from, dollar dominance at New Delhi summit

Xi Jinping, Russian leader Vladimir Putin, Iranian President Masoud Pezeshkian and Indian Prime Minister Narendra Modi stood together as the BRICS summit closed in New Delhi, an 11-nation bloc now spanning four continents and nearly half the world's population, per SCMP. UN Secretary General Antonio Guterres also attended the gathering of emerging economies.

RUSSIA-CENTRAL ASIA · NYT CHINA

Kyrgyzstan emerges as conduit for Russian imports of Chinese goods

Kyrgyzstan has become a crucial middleman for Russia to import goods from China since the invasion of Ukraine, NYT's Moscow bureau chief Paul Sonne reports from Bishkek. The video segment documents the country's fast economic growth built on re-export trade flows.

EUROPE · BLOOMBERG CHINA

Germany to lobby EU for tougher China policy, possible new tariffs

Germany plans to push the EU toward a tougher stance on China, potentially including new tariffs, Bloomberg reports. The move comes as European automakers face mounting competitive pressure from Chinese EV and truck manufacturers expanding into the bloc.

EUROPE · FT CHINA

UK, Japan seek to benefit from EU's 'Made in Europe' car-sector rules aimed at China

Britain is pushing to ensure its auto industry is not caught in the crossfire as the EU drafts 'Buy European' procurement rules designed to push out Chinese competitors, per FT. Japan is separately seeking similar treatment under the emerging EU framework.

\$61 million

Crypto US prosecutors seek to seize in an Iran-China oil sanctions-evasion case

DOJ alleges two Chinese companies used Binance trading accounts to launder proceeds from Iranian petroleum sales and route the funds to Tehran or its proxies.

CNBC

• ECONOMY & BUSINESS

FINANCE • BLOOMBERG CHINA

PBOC strengthens yuan fix ahead of Trump-Xi summit

China's central bank set a stronger daily yuan reference rate Tuesday ahead of Xi's Sept. 24 Washington visit, Bloomberg reports.

MANUFACTURING / CATL • BLOOMBERG CHINA

CATL wins Chinese approval for battery deal in sector consolidation push

Battery giant CATL received regulatory approval in China for a deal as part of a broader industry consolidation drive, Bloomberg reports.

AUTO / GAC, FAW • REUTERS CHINA

GAC plans to buy FAW's stake in undisclosed auto joint venture

China's GAC filed to acquire FAW's stake in an undisclosed auto joint venture, Reuters reports, as Beijing's two state-owned carmakers consolidate resources amid a government push to curb sector overcapacity.

AUTO / TOYOTA • REUTERS CHINA

Toyota revamp signals wider industry shake-up in China

Toyota is restructuring its China operations, Reuters reports, in a move seen as a bellwether for broader consolidation among foreign automakers facing intensifying competition from domestic Chinese EV makers.

TECH / DEEPSEEK • REUTERS CHINA

DeepSeek hires dealmaker as CFO ahead of possible IPO

Chinese AI firm DeepSeek hired a dealmaker as chief financial officer, Reuters reports, fueling speculation about a possible initial public offering.

PROPERTY • BLOOMBERG CHINA

China home price slump persists, policy focus shifts to support

New and existing home prices in China continued falling in August, Bloomberg reports, keeping pressure on policymakers to expand property-support measures.

FINANCE • FT CHINA

China's AI listings glut drags on Hong Kong stocks

A surge in AI-related equity issuance in Hong Kong has outpaced actual market performance, FT reports, highlighting weak global investor demand for Chinese stocks even amid the AI boom.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · TUESDAY, SEPTEMBER 15, 2026

国务院 · STATE COUNCIL · *Li Qiang, Premier*

Chairs State Council meeting ordering tighter workplace-safety oversight

Premier Li Qiang chaired a State Council executive meeting that ordered further measures to strengthen workplace safety production controls nationwide.

→ [State Council ZH](#) ↗

国务院 · STATE COUNCIL · *Li Qiang, Premier*

Signs decree promulgating new Market Supervision Administration regulations

Premier Li Qiang signed a State Council order publishing new regulations governing local market-supervision administration offices.

→ [State Council ZH](#) ↗

中国人民银行 · PBOC · *PBOC (unattributed)*

Conducts 500 billion yuan six-month outright reverse repo

The PBOC conducted a 500 billion yuan six-month (181-day) outright reverse repo via fixed-quantity, rate-bid, multiple-price tender, maturing March 15, 2027.

→ [PBOC ZH](#) ↗

外交部 · MOFA · *Guo Jiakun, MOFA spokesperson*

Announces donation of Chang'e-6 lunar far-side samples to the UN

MOFA said China will donate soil samples collected by the Chang'e-6 mission from the moon's far side to the United Nations.

→ [MOFA ZH](#) ↗

外交部 · MOFA · US CALLS TO SLOW AI DEVELOPMENT

FIRM · TO US

Guo Jiakun ¹ · MOFA spokesperson

“Spreading various threat narratives and engaging in confrontation and malicious competition will only disrupt the process of global AI governance and does not serve anyone's interests.”

散播各种威胁叙事、搞对抗和恶意竞争，只会干扰人工智能全球治理进程，不符合任何一方利益。

Response to a Reuters question about Elon Musk and other tech figures' weekend calls for AI firms to slow development, citing China's AI progress as a US national-security risk.

MOFA presser ZH

国台办 · TAO · TAIWAN STATEHOOD CLAIMS

FIRM · TO TAIWAN

TAO spokesperson ¹ · Taiwan Affairs Office spokesperson

“Per TAO: Taiwan absolutely cannot become a country; there is no such thing as its so-called 'sovereignty.’”

台湾绝无可能成为一个国家，根本不存在所谓“主权”

Statement reiterates Beijing's rejection of Taiwan statehood claims, published Tuesday.

TAO ZH

外交部 · MOFA · CHINA-JAPAN RELATIONS

FIRM · TO JAPAN

Guo Jiakun ¹ · MOFA spokesperson

“Per MOFA: [Japan Prime Minister] Takaichi Sanae's wrongful statements on Taiwan are the biggest crux of the severe difficulties currently facing China-Japan relations.”

高市早苗涉台错误言行是当前中日关系面临严重困难的最大症结

Comment addresses recent remarks on Taiwan by Japanese Prime Minister Sanae Takaichi.

MOFA ZH

外交部 · MOFA · US MILITARY BUILDUP IN OUTER SPACE

WARNING · TO US

Guo Jiakun ¹ · MOFA spokesperson

“Per MOFA: China urges the US side to stop expanding its military buildup and arms race in outer space.”

敦促美方停止在外空扩军备战

Statement issued at the Sept. 15 MOFA regular press briefing.

MOFA ZH

● WHAT OTHERS ARE SAYING

SCMP · SEP 15, 2026

Cui Tiankai · Former Chinese Ambassador to the United States

“[While] we have the agreement on this constructive strategic stability, we don't have the illusion that things will be easy going ahead. There are always problems, sometimes very big problems.”

Remarks came at the Beijing Xiangshan Forum, a week before Xi's first US state visit in over a decade.

source

TAIPEI TIMES · SEP 15, 2026

Hsiao Bi-khim · Vice President of Taiwan

“Throughout this journey, I have once again felt the international community's concern for Taiwan, and encountered a growing number of good friends willing to learn about Taiwan and hear its story.”

Comments made upon her return from the Second Ventotene European Conference for Freedom and Democracy in Italy.

source

TAIPEI TIMES · SEP 15, 2026

Dovile Sakaliene · Lithuanian MP, former Defense Minister

“Taiwan and Ukraine are the structural safety pins of global stability. Pull them and the whole transatlantic system unzips.”

Remarks made at a joint conference of Taiwanese associations in Helsinki, per Taipei Times.

source

BUSINESS

CNBC CHINA

Analyst: no Chinese automakers in the US market by 2030

CNBC reports analyst John Murphy expects more hybrids but no Chinese entrants in the US auto market through 2030.

TECHNOLOGY

CNN CHINA

CNN: US and China both claim distinct edges in AI safety-versus-speed debate

CNN examines the parallel US-China debates over pacing AI development against competitive risk, noting each side cites its own advantages.

PRC-ECONOMY

ECONOMIST CHINA

Economist: China's tutoring crackdown spawned a black market

The Economist reports Beijing's ban on for-profit tutoring has pushed the industry underground rather than eliminating it.

TRADE

BLOOMBERG CHINA

China's donkey-hide demand fuels a growing trade with Pakistan

Bloomberg reports Chinese demand for donkey hides, used in traditional medicine, has spurred a fast-growing export trade from Pakistan.

SECURITY

REUTERS CHINA

Chinese police arrest man after Guangzhou knife attack, no deaths reported

Reuters reports police arrested a suspect after a knife attack in Guangzhou; no fatalities were reported.

ENERGY

BLOOMBERG CHINA

Russia's Nornickel seeks new China partner to process copper

Bloomberg reports Nornickel is seeking a new Chinese partner to process copper, as Russian metals producers deepen China ties under sanctions.

REUTERS CHINA

China's August oil throughput rises as fuel exports rebound

Reuters reports Chinese refinery throughput rose in August as fuel exports rebounded amid the Iran war's disruption of regional supply.

AUTO

REUTERS CHINA

BYD to produce trucks in Europe, seeking to be seen as a 'European company'

Reuters reports BYD plans European truck production as part of a bid to reposition itself as a domestic European manufacturer.

• UPCOMING

Sep
16

Iranian FM Araghchi meets Wang Yi in Beijing

Second China visit since the US-Iran war began, days ahead of Xi's Washington trip.

Sep
18

Mukden Incident 95th anniversary

Recurring Japan-China flashpoint date, watched amid strains over PM Takaichi's Taiwan remarks.

Sep
22

UN General Assembly high-level week opens

New York gathering precedes Xi's Sept. 24 Washington visit by two days.

Sep
24

Xi Jinping state visit to Washington

First Chinese leader visit to the US since 2015; agriculture and energy tariff cuts reportedly under discussion.

Oct
1

PRC National Day, 77th anniversary

Marks the People's Republic's 1949 founding.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

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